

China Credit Observation: three findings of K-shaped economy

China's May TSF data unveiled a deepened K-shape economy. Liquidity improved on the surface, yet largely reflect precautionary cash positioning. New loans relied on bill financing, whereas HH credit demand remained subdued. We highlight three findings from recent macro data, and favor three opportunities in China financials: a barbell positioning in China banks, BOC (H) and BONB (A), and HKEx as long-term beneficiary of expanding formal capital connect schemes.

Headline TSF buoyed by govt credit: May-26 new TSF printed at Rmb2,029bn, 19% above consensus, driven by Rmb1.2tn issuance in government bonds, which contributes to 60% of new monthly TSF. Total TSF balance printed at Rmb458,810bn, +7.7% YoY. Corporate bond financing improved 14.6% YoY, partially offsetting the weakness on corporate LT loans. Shadow banking components further contracted.

M1 improved to 5.5%, but likely low quality: M1 and M2 growth printed at 5.5% (0.5ppt above consensus) and 8.6% in May respectively. We read this set of data into two perspectives 1) a narrowing M2-M1 gap indicates further term deposit activation, which can potentially lead to further consumptions/investments; 2) yet M1 strength is likely driven by precautionary liquidity rather than genuine corporate cash deployment, given a weaker PMI new order print (-0.7ppt MoM to 49.9), thus is low quality in our view.

Real economy credit demand is yet to recover: New Rmb loans printed at Rmb520bn in May, leading to a 5.5% system level loan balance growth to Rmb281.02tn. Structure was not improving, as 107% of new Rmb loans was boosted by discounted bills, while household ST/LT loans stayed in contraction zones. Overall China's credit impulse weakened on MoM basis.

Three findings about K-shaped economy: First, we track the gap between RatingDog PMI and official NBS PMI, and a widening spread in May suggests service-led, export-driven business activities are picking up faster driven by AI super-cycle, whereas overall manufacturing/infra activities landed on a softer patch. Second, export and domestic consumption like come in a divergent pair. China's custom export +19.4% YoY in May-26, beat consensus estimate of 15% YoY, marking the strongest since Feb-26, supported by continued strong demand for renewable and AI-related goods. On the other hand, Core CPI dipped 0.1% MoM to 1.1%, with softness in both services and core goods. Third, PPI continued to edge up at +3.9% YoY (vs +2.8% in Apr-26/3.8% consensus), the inflationary pressure from Middle East shock eased a bit evidenced from sequentially lower PMI raw material price, but the constant gap between purchase and ex-factory price suggests the limited pass-through, as such downstream sectors are still early to a reflationary scenario.

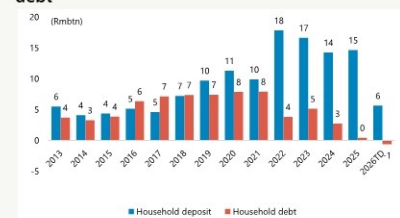
Three ideas in China Financials: Amid a K-shaped recovery in real economy, soft domestic demand, and a continued household deleveraging trend, we recommend barbell strategy in China banks - BOC (H) and Bank of Ningbo (A) are our top picks. We believe recent State Council's outbound investment regulations focus more on real investments, and CSRC's agenda is to clean up cross-border stock trading happening onshore with the end goal of facilitating capital flows into official channels, such as QDII, Southbound Connect, and Wealth Management Connect. As such, HKEx will be a long-term beneficiary of expanding formal capital connect channels.

Figure 1 - TSF quick read

(Rmbbn)	May-25	Mar-26	Apr-26	May-26
New total social financing (TSF)	2,290	5,226	625	2,029
- Loans (Rmb & FX)	606	3,195	(382)	513
- Shadow banking *	(116)	80	(570)	(72)
- Corporate bonds	150	395	452	172
- Government bonds (central & local)	1,459	1,162	904	1,222
- Others (equity, ABS, write-off, etc.)	192	395	220	195
TSF balance	426,160	456,460	456,890	458,810
TSF balance growth	8.7%	7.9%	7.8%	7.7%
* Shadow banking include entrusted loans, trust loans and undiscounted bills				
New Rmb loans	620	2,990	-10	520
- Household short-term loans	(21)	196	(446)	(84)
- Household long-term loans	75	295	(341)	(57)
- Corporate short-term loans	110	1,480	(460)	100
- Corporate long-term loans	330	1,350	(410)	(20)
- Discounted bills	75	(191)	1,243	557
- NBF loans	59	(169)	175	(86)
Loan balance	266,321	280,510	280,502	281,020
Loan balance growth	7.1%	5.7%	5.6%	5.5%
New deposits	2,183	4,470	273	1,770
- Household deposits	470	2,440	-1,940	-110
- Corporate deposits	-418	2,725	-1,250	-170
M1 growth	2.3%	5.1%	5.0%	5.5%
M2 growth	7.9%	8.5%	8.6%	8.6%

Source: PBOC, Wind, CEIC, Jefferies

Figure 2 - Household deposit vs household debt



Source: PBOC, Wind, CEIC, Jefferies

Figure 3 - All new deposits breakdown by savers

	May-25	Mar-26	Apr-26	May-26
All new deposits	1,770	2,180	1,080	1,480
Residential deposits	(110)	470	420	530
Corp deposits	(170)	1,410	(200)	(120)
Fiscal deposits	710	880	710	820
Non-bank Fin deposits	1,140	1,180	1,180	1,220
Government Depository & Organizations deposit	300	350	350	350

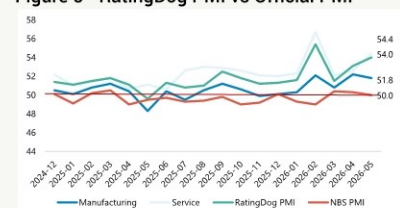
Source: PBOC, Wind, Jefferies

Figure 4 - China credit impulse



Source: PBOC, Wind, Jefferies

Figure 5 - RatingDog PMI vs Official PMI



Source: RatingDog, S&P, NBS, Jefferies

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Company Valuation/Risks

Bank of China Limited

Our PT of HKD 6.3 is based on DDM with 7.69% cost of equity. This implies a 0.67x H-share 2026E P/B and 4.0% dividend yields. Long term ROE is set at 6.4%, implying a long-term H-share P/B of 0.59x. A/H premium is set at 26.4%, A-share TP is set at Rmb 7.4, implied a 0.84x A-share 2026E P/B. Our base case assumes an EPS of Rmb 0.76 based on 1.23% NIM and 0.50% CoR.

Upside risks: easing global tension; better-than-expected offshore interest rate movement; and better-than-expected HK market growth; potential upside in cross-border opportunities. Downside risks: worsening geopolitical conditions that hurt China's exports and economy, or prompt sanctions on financial institutions; further weak credit demand; and significant deterioration in asset quality.

Bank of Ningbo Co Ltd

Our PT of Rmb 42.0 is based on DDM with 8.6 % cost of equity. This implies a 1.12X 2026E P/B. Our base case assumes an EPS of Rmb 4.72 based on 1.69% NIM and 1.00% CoR.

Upside risk: Better than expected earnings recovery; regional economy further outpaces the country; better-than-expected wealth management business development; better-than-expected retail recovery. Downside risks: significant asset quality deterioration; worsening geopolitical conditions that hurt China's exports and economy.

Hong Kong Exchanges and Clearing Limited

We use P/E multiple to value HKEx. Upside risks: better-than-expected market turnover; better-than-expected fund flow; and better-than-expected economy. Downside risks: worse-than-expected market turnover; worse-than-expected fund flow; and worse-than-expected Chinese ADR return.

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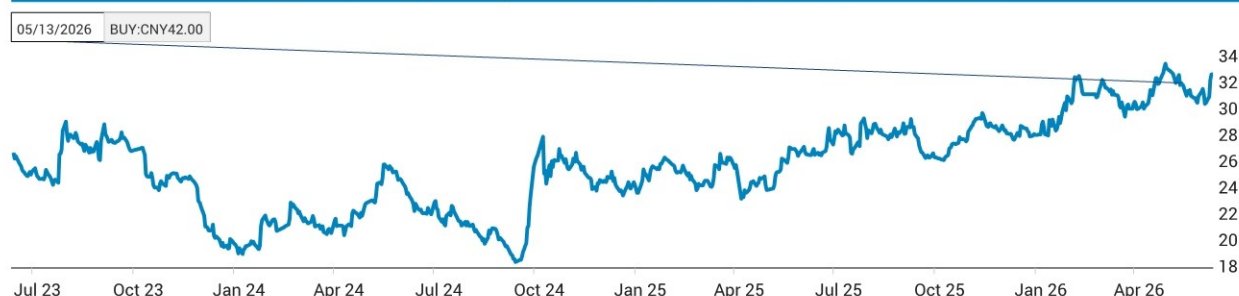
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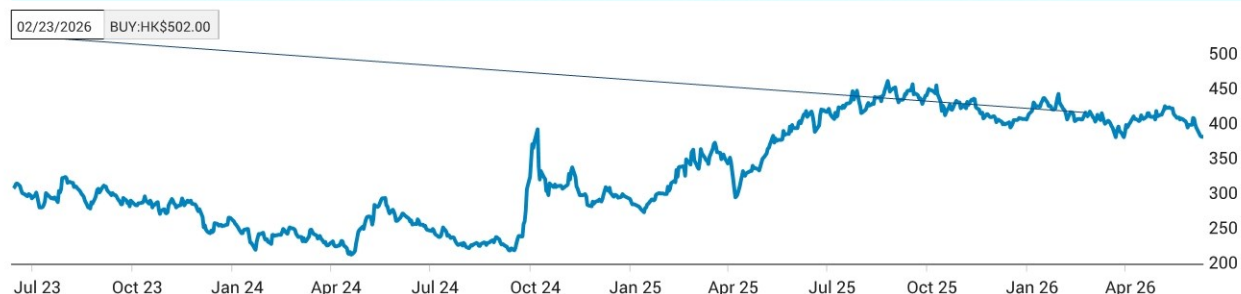
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- Bank of China Limited (3988 HK: HK\$5.37, BUY)
- Bank of Ningbo Co Ltd (002142 CH: CNY32.85, BUY)
- Hong Kong Exchanges and Clearing Limited (388 HK: HK\$374.00, BUY)

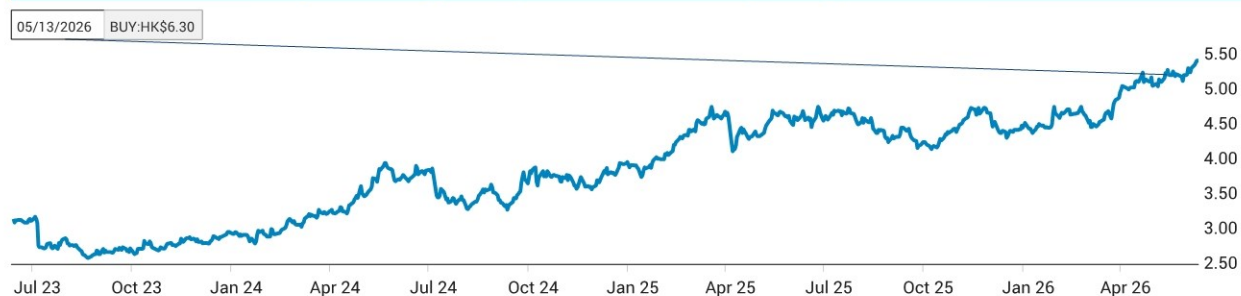
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